

(except for mortgage REITS) rushed back to the level of the high and have since languished, as reflected in Figures 20-6 and 20-13. This selective rebound has continued all the way up to today and has included one major surprise.

ANALYSIS

Let's examine some of the charts that show not a "B" wave but a continuation of the old multi-decade bull market right up to today. The key question is whether they display any characteristics of an advance that is *ending*, so that they are compatible with the message from Figures 20-1, 20-4, 20-6 and 20-7.

Figure 20-8, showing the median sales prices of existing single family homes, displays no wave count, but it does reveal two things. First is the accuracy of *The Elliott Wave Theorist's* 1981 conclusion that the orthodox top of the real estate market, i.e., the end of the time when it was impossible to lose in a property investment, occurred in late 1979. This particular measure does not reveal the fractured nature of the national market since then, with its pockets of extreme weakness and periods of low turnover and liquidity. It does, however, show that the slope of the rise in the median sales price, which had been steady for at least 24 years of available data,

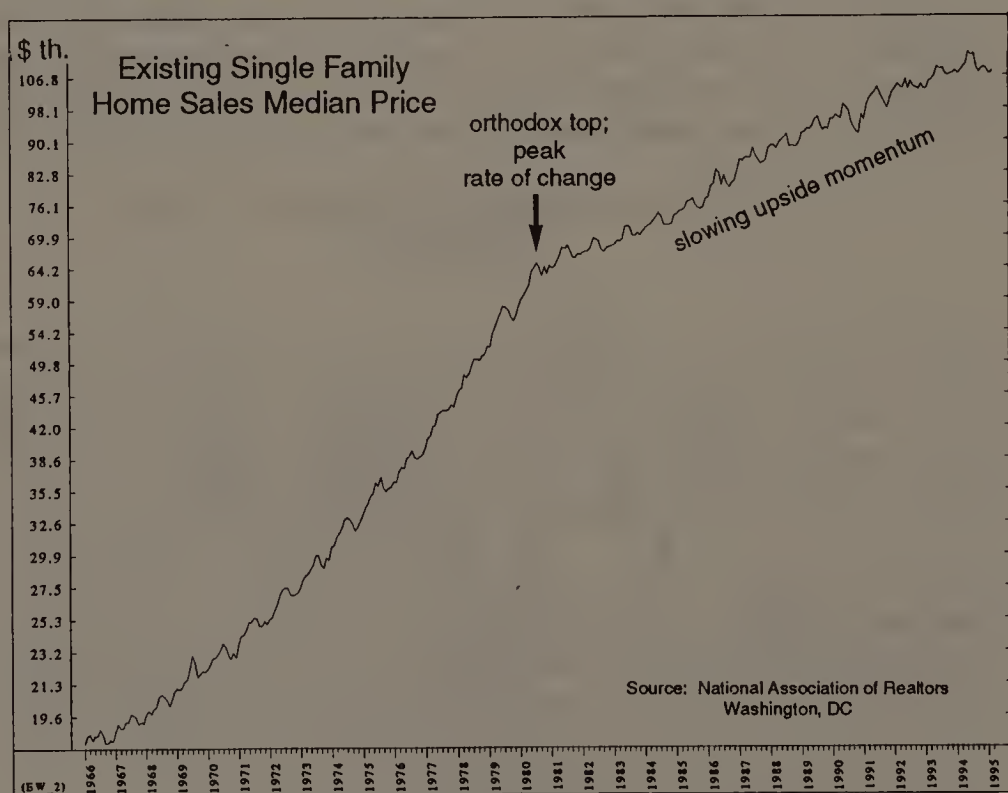


Figure 20-8